company’s financial liquidity by freezing the capital and increasing warehousing costs. Now that he can access Adam’s and Eve’s direct forecasts, he is able to procure just enough shovels. He ends the year with barely any inventory left and without running out of shovels in the meantime.

For Candace, this results in a nice profit, thanks to reduced costs in year two, and she also has three happy employees. You should notice that it’s the *pipeline* (the flow of data from one unit, in this case, Adam and Eve, to Candace and further to Bob) that has been the source of all problems. All that Candace has done is to break up that pipeline and *package it into one*, or at most two, pieces. That is decentralization at work.

That’s really all there is to it. By breaking up this pipeline in certain situations, you will end up with better outcomes, because the decentralized parts (Adam and Eve, in our case) simply can turn that data into value better (whereas the whole pipeline could not).

Probably next year, Candace will want to introduce some form of governance. For example, she could introduce rules on the frequency of updates; or she might ensure the security of her spreadsheets so the kid from Pine Street doesn’t mess with their data. Maybe she’ll hire someone to create a website so people can book their services online—to do that, she’d have to develop data products with Adam’s and Eve’s working times and connect them with the new system by using some part of the platform. Isn’t the future full of potential when you have operational profit?

Next, we will show you the four principles of the data mesh. We consider them the cornerstones of its implementation. But as we mentioned previously, our data mesh definition is inclusive and business-value oriented. Therefore, you need to prioritize these principles for yourself and determine the degree to which you should follow them to achieve your business goals. Just as Candace did, you will need to use the following principles as *guides* to successfully implement a data mesh.

1.4 Data mesh principles